

The world in brief

Catch up quickly on the global stories that matter



Photograph: Getty Images

An **Israeli** air strike killed at least eight people in Tyre, a city in southern **Lebanon**, according to local officials. **Israel** had ordered residents to evacuate parts of the city; it says Hizbullah, an Iran-backed militia, operates there. Israel and Iran agreed to stop exchanging air strikes on Monday, but both threatened to retaliate if the other side resumed attacks. Iran has warned Israel not to strike Lebanon.

America's trade deficit in April shrank by 1.2% from March, to \$55.9bn. Total exports rose by 2.6%, largely because of the war in the Middle East, which pushed demand for American oil and fuel up to a record high. This exceeded the increase in imports of 2%, driven by purchases of chips and other technology to feed the AI boom.

Two **American** pilots whose military helicopter crashed near the Strait of Hormuz were rescued by an **unmanned boat**, in what may be a first for this kind of drone. The pair were on patrol when their Apache went down; us Central Command said the cause was “under investigation”. Within two hours the drone, which resembles a speedboat, had ferried them to safety.

A man was seriously injured in a **stabbing** in **Belfast**, the capital of Northern Ireland, on Monday night. The alleged attacker, who was arrested for attempted murder, is believed to be a Sudanese man in his thirties. Police said they were investigating the motive for the attack. Sir Keir Starmer, Britain's prime minister, called the assault "horrific" and "sickening".

The **Pentagon** added dozens of **Chinese businesses** to its list of firms that threaten national security. BYD, the world's biggest electric-car maker, and internet firms such as Baidu and Alibaba are among those accused of aiding China's armed forces. They vehemently denied the charge. The firms will be barred from doing business with America's armed forces. The announcement may complicate upcoming summits between the countries' leaders.

Indonesia's central bank unexpectedly raised interest rates by a quarter of a percentage point, to 5.5%, a week before its next scheduled meeting. The bank is attempting to support the rupiah after the currency hit a record low against the dollar. Investors have been spooked by the lavish [spending plans of Indonesia's president](#), Prabowo Subianto, and the economic effects of the Iran war.

Apple announced improvements to its artificial-intelligence tools at its Worldwide Developers Conference, including a long-delayed overhaul of **Siri**. The digital assistant will soon use AI to offer personalised chatbot services to users; its familiar voice is also becoming customisable. Investors' reaction was muted. John Ternus [takes over from Tim Cook](#) as Apple's boss on September 1st.

Figure of the day: 2,414, the size of an Estonian startup's fleet of pizza-delivery robots in 2025. [Read the full story.](#)



Photograph: AP

Preparing for the Maine event

Maine is important to America's Democrats. The state has one of four Senate seats they will likely need to win if they are to [regain control of the chamber](#) in November's midterm elections. The Republican incumbent, Susan Collins, has held the job for almost three decades. In primaries on Tuesday voters will probably select Graham Platner as the Democratic candidate to take her on. A 41-year-old Marine infantryman turned oyster farmer, Mr Platner has woven an outsider, anti-elite narrative.

But [a series of scandals](#)—including reports that he sent explicit messages to women while married, and allegations of abuse by an ex-girlfriend (which he denies)—has made him a riskier bet. Mr Platner has sought to move on from his past, which he says has been “weaponised”. High-ranking Democrats have cautiously stood by him. For now, he is polling ahead of Ms Collins in the general election. The test is whether voters will move on with him.



Photograph: 11th Marine Expeditionary Unit

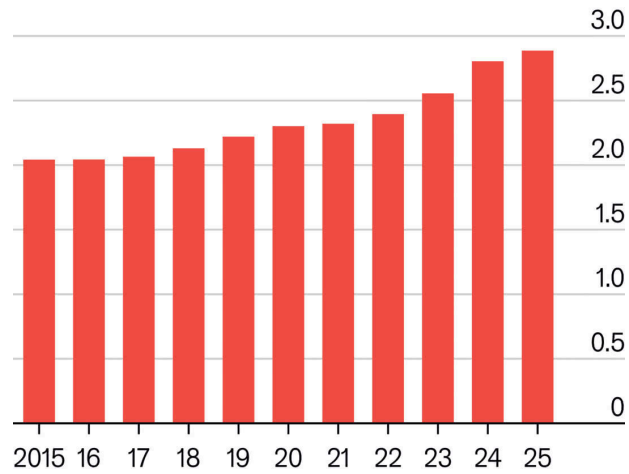
Guns up, rules down

On Tuesday SIPRI, a Swedish think-tank, presented its annual review of developments in military technology and international security at Sweden's parliament. The context for the yearbook is striking. Global military spending reached a record \$2.9trn last year. The militarisation of space continues to outpace international regulation. Weapons and command-and-control systems increasingly incorporate artificial intelligence, which could also make it easier to develop biological and chemical weapons.

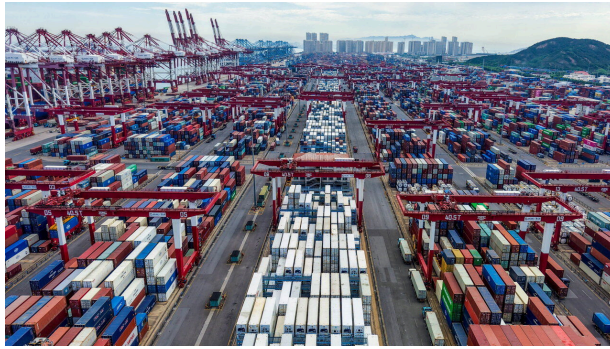
SIPRI's sharpest warning concerns [nuclear weapons](#). The yearbook says that countries are modernising and expanding their nuclear arsenals as confidence erodes in the Non-Proliferation Treaty, which bans non-nuclear powers from obtaining the weapons. Iran is resisting American demands that it relinquish its stockpile of highly enriched uranium. In Japan and South Korea pressure to join the nuclear club has grown. SIPRI argues that the world is at a watershed. New START, the sole remaining treaty limiting America's and Russia's deployed strategic nuclear forces, expired in February.

Stocking up

World, military spending, \$trn, 2025 prices



Source: SIPRI



Photograph: Getty Images

China's confidence problem

China made headlines when it declared that its trade surplus last year [exceeded \\$1trn](#). On Tuesday its customs administration reported another strong figure: exports grew by 19.4% in May compared with a year earlier.

The country's mercantile success has stoked fear and anger abroad. But it has not encouraged confidence and spending at home. Retail sales in China are faltering. Car sales fell by over a fifth year on year in May. Although the Iran war has pushed up the prices of fuel and other inputs, firms have not been able to pass higher costs on to their customers. Figures released on Wednesday will probably show that consumer prices rose only modestly last month year on year. The government ought to do more to bolster consumer confidence by stabilising the property market and boosting rural pensions. But its policies are better at wooing foreign buyers than soothing buyers at home.



Photograph: A24

Gen Z behind the camera

In recent weeks the global box office has been dominated not by Hollywood veterans but by American YouTubers in their 20s. “Obsession”, Curry Barker’s second film, was made for just under \$1m and has grossed \$225m. “Backrooms”, Kane Parsons’s debut feature, has taken almost \$215m and become a hit in 25 countries.

Both films update classic horror tropes for a generation worried about isolation, insecure housing and bleak career prospects. In “Backrooms”, a divorced alcoholic living in his furniture shop stumbles into a sinister labyrinth. In “Obsession”, a socially awkward man uses a talisman to make his friend fall in love with him, with terrifying consequences. Both movies end with acts of self-destruction; in the cruel world of these stories, the characters’ best option is to surrender. Many Gen Zers say they feel similarly hopeless. The creators of these blockbusters, though, must be feeling that the future looks bright.



Illustration: Sandra Navarro

Daily quiz

We will serve you a new question each weekday. On Friday your challenge is to give us all five answers and tell us the theme. Email your responses (and your home city and country) by 1700 GMT on Friday to [\[email protected\]](#). We'll pick three winners at random and crown them on Saturday.

Tuesday: Stanley Park is a large public park in which North American city?

Monday: What is the capital of the Mexican state of Nuevo Leon?

A word in earnest is as good as a speech.

Charles Dickens